DAILY NEED TO KNOW

Wednesday, 29 July 2026 · Pre-market brief for Anne Wong

Covering the Tuesday 28 July 2026 US session + overnight. All times GMT+8 (HKT).
Edition: **FULL — Hedgeye logged-in edition** (live risk ranges & Quads).

1 Market snapshot (Tue 28 Jul close)

Asset	Last	Change	Note
S&P 500	7,428.78	▲ +15.60 / +0.21%	Third gain in four; Hedgeye LOWERED the floor 7,385 → 7,350 — now 1.1% below
Nasdaq Composite	24,876.91	▼ −55.17 / −0.22%	FIFTH straight down session. SMH −3.5%, −9% on the week
Dow Jones	52,747.32	▲ +537.24 / +1.03%	Third straight gain — cheap oil, staples, health care, financials
Russell 2000	2,953.80	▲ +5.77 / +0.20%	Inside 2,914–2,990 bullish; small caps quietly holding
US 2Y yield	~4.27%*	▼ ≈ −3 bp	Not officially confirmed; ~65bp above Fed Funds into the decision
US 10Y yield	4.604%	▼ −3.7 bp	Inside the 4.55–4.72% bullish range; third day lower
US 30Y yield	5.10%	▼ −3.0 bp	Still north of 5%; DM sovereigns at multi-decade highs
Gold (Aug)	$4,038.70	▼ −0.9%	NOW $4,017.90 (−0.5%) o/n; bearish TREND, range cut to 3,952–4,121
Silver (Sep)	$57.53	▼ −1.9%	NOW $57.14 o/n; ceiling cut $61 → $59. Bearish TREND
WTI crude	$79.26	▼ −$3.35 / −4.0%	BROKE $80. NOW $82.79 (+4.5%) o/n on the Iran missile attack
Brent crude	$84.09	▼ −$4.27 / −4.8%	Third straight fall, lowest in a week. NOW $87.42 (+4.0%) o/n
Bitcoin	~$63,545	▼ −0.2% o/n	ETH ~$1,903 (+0.6%); Hedgeye cut ETH/ETHA Bullish → NEUTRAL
US Dollar (DXY)	101.39	► −0.02%	Back INSIDE a raised 100.90–101.98 range — the breakout failed
VIX	18.21	▼ −0.46 / −2.46%	Signal UPGRADED bearish → NEUTRAL on a widened 15.57–20.27
Copper (Sep)	$6.36	► −0.4% o/n	$6.33 now; bullish TREND, the lone constructive commodity

*Colour key: ▲ up ▼ down ◆ neutral/mixed ► little changed. A rise in yields or VIX is not necessarily good. o/n = overnight electronic trade, ~07:03 GMT+8 Wed. * = approximation or unconfirmed.*

TL;DR: Two things broke on Tuesday, and they broke in opposite directions. In Asia the memory trade cracked — KOSPI −10.84%, a market-wide circuit breaker, Samsung −13% and SK Hynix −15% — after reports that China has begun mass production of domestic DUV lithography tools. Nikkei followed −3.95% to its lowest close in two months, Taiwan −4.65%. In the US the same news hit the chip complex (SMH −3.5%, fourth straight loss, −9% on the week; Micron −8.9%, AMD −8.2%, Amkor −24.7%) and the Nasdaq closed lower for a FIFTH consecutive session. Everything else rallied: the Dow +537pts on cheap crude, strong earnings and a health-care bid, with Apple briefly topping a $5 TRILLION market cap for the first time. WTI settled −4.0% at $79.26, breaking Hedgeye's $80 TREND line, and Keith McCullough flipped oil to Bearish TRADE and TREND. Then, after the close, CENTCOM said the IRGC fired multiple ballistic missiles at US forces in the Middle East in an "attempted surprise attack" — intercepted — and crude jumped straight back +4.5% to $82.79. The pause is over. The Fed decides at 02:00 GMT+8 tomorrow with a ~30% hike priced.

Today's actionable levels — what to watch

- ▼ **WTI:** $82.79 o/n after settling $79.26 — BELOW Hedgeye's $81 TREND line at the settle, back above it on the missile headline. The range was widened AND downgraded to 75.09–92.09 NEUTRAL. Keith's Alpha Code 8481: TRADE momentum $84, TREND $81. Between $81 and $84 you are in no-man's land; this is the single most reflexive line on the page today.
- ▼ **Nasdaq:** 24,876.91 vs 24,612–25,757, still BEARISH TREND. The floor was lowered again and now sits 265 points — 1.06% — below spot. Five consecutive down days into MSFT and META tonight, with the whole complex already discounting a China supply shock.
- ◆ **S&P 500:** 7,428.78 vs 7,350–7,555 (bullish). The floor was LOWERED 7,385 → 7,350, so the index actually bought itself room — 79 points, 1.06%. Futures −0.19% indicate a soft open, not a break.
- ◆ **US Dollar (DXY):** 101.39 vs a RAISED 100.90–101.98 range. Monday's close above the old 101.51 top did not follow through — the dollar is back mid-range into a no-forward-guidance FOMC. A hawkish Warsh puts 101.98 in play immediately.
- ▲ **VIX:** 18.21 vs 15.57–20.27, and the signal was UPGRADED bearish → NEUTRAL. Read that carefully: Hedgeye widened the band rather than calling for calm. 20.27 is the line that matters if the Fed surprises or the Middle East re-escalates overnight.
- ▼ **HYG:** 79.01–79.68 and DOWNGRADED back to BEARISH — a straight reversal of Monday's upgrade to Neutral after one session. Credit gave its all-clear back. That is the quietest and most important signal change on the sheet.

2 The big picture — what it means

1. The memory trade did not correct — it broke. KOSPI −10.84% is not a drawdown, it is a dislocation: a market-wide circuit breaker, the eighth of 2026, with Samsung −13% and SK Hynix −15% in a single session. SK Hynix has now fallen roughly 41% this month, its worst month since October 2008, and it is the third time in July alone the stock has dropped ~15% in a day. The trigger was a report that a Chinese state-backed consortium has begun MASS PRODUCTION of domestic immersion DUV lithography — the last enforceable chokepoint below EUV — landing 24 hours after CXMT's +466% Shanghai debut gave domestic DRAM a $490bn cost of capital. Hedgeye's read is unsentimental: Keith exited Korea and Japan on the Signal, is short EWY, and calls Dr. KOSPI the leading indicator, now −34% from its cycle peak.

2. And then SK Hynix printed a record — and missed anyway. Reported this morning: revenue KRW 79.32trn (~$54.6bn) against ~$57.7bn expected, operating profit KRW 60.54trn (~$41.6bn) against ~$44.2bn, at a barely-credible 76.3% operating margin. Q2 operating profit alone exceeds the company's entire FY25 record of 47.2trn. DRAM ASPs +~30% q/q, NAND +mid-50% q/q, ten long-term supply agreements signed. This is the cleanest statement of the regime yet: the best quarter in the company's history was not good enough, because the market has stopped paying for current earnings in a business whose terminal market share is suddenly contestable. Guidance is constructive (DRAM demand +mid-20% y/y in 2026) and it will not matter much today.

3. This is a factor unwind wearing a semiconductor costume. Goldman's high-beta momentum basket is down 37% in July — its worst month ON RECORD. That is not a chip story, that is the most-owned book in the market being liquidated. It shows up everywhere on Tuesday's tape: Technology −2.69% while Health Care +2.30%, Consumer Staples +1.95% and Communication Services +1.48%; Amkor −24.7%, Commvault −19.7%, Sanmina −17.5%, Sterling −15.2%, SanDisk −14.3%, Corning −15.9%. Hedgeye has been long XLV, XLRE, IAK and NOBL and short XLK, MEME, PTF and CARZ into exactly this. Note the tell in the breadth: roughly two-thirds of SPY constituents were UP an average +2.1% on a day the Nasdaq fell. The index is masking the rotation, not describing it.

4. Oil round-tripped a week's move in six hours, and the Fed has to decide anyway. WTI settled −4.0% at $79.26 — through the $80 line, third straight decline — on genuine diplomatic progress: Iran's FM Araghchi held separate talks with his Saudi and Omani counterparts, and Oman has floated a joint regional mechanism for Hormuz with voluntary Iranian transit fees that reportedly has Gulf support. Then CENTCOM reported an attempted IRGC ballistic-missile surprise attack on US forces, and crude took the whole move back +4.5%. Hedgeye downgraded oil to NEUTRAL and widened the band to 75.09–92.09 — a $17 range is the honest statement that nobody can price this. The Fed meets into it: ~70% priced for a hold at 3.50–3.75%, so ~30% for a HIKE, with no dot plot and no forward guidance. Warsh's presser at 02:30 GMT+8 Thursday is the entire signal.

3 Rates, currencies & commodities

- **Rates:** 10Y 4.604% (−3.7bp; range 4.55–4.72% bullish); 30Y 5.10% (−3bp); 5Y 4.361% (−3.6bp); 13-week bill 3.76% (−3.7bp). The whole curve shifted down ~3–4bp — a duration bid into the decision, not a growth scare. 2Y is not officially confirmed but tracks ~4.27%, leaving the front end ~65bp above a 3.50–3.75% Fed Funds target. Credit is the ugly part: HYG downgraded NEUTRAL → BEARISH (79.01–79.68) after one day, LQD still bearish (105.7–107.4).
- **US Dollar:** DXY 101.39 (−0.02%), back inside a range Hedgeye RAISED to 100.90–101.98. EUR/USD 1.1378 (+0.09%), GBP/USD 1.3298 (+0.06%), AUD/USD 0.6970 (−0.30%), USD/CHF 0.8186. The failed breakout above 101.51 is the quiet FX story — the dollar could not hold its high on a day yields fell and equities were mixed.
- **Yen and the won:** USD/JPY 163.84, still pinned, with the BoJ decision and quarterly Outlook Report on Friday. But the Asian currency that moved was the won: USD/KRW 1,457.19, and the won STRENGTHENED 0.54% on a day the KOSPI fell 10.84% — repatriation and intervention chatter, not a funding stress. Watch that pairing; if the won starts falling WITH the index, the Korea trade becomes a macro problem rather than a sector one.
- **Oil:** WTI settled $79.26 (−4.0%), Brent $84.09 (−4.8%) — both the lowest in more than a week and a third consecutive decline, before the CENTCOM headline took WTI to $82.79 (+4.5%) and Brent to $87.42 (+4.0%) overnight. Products lagged the crude bounce on the way down and led on the way up: RBOB +1.77%, heating oil +2.31% o/n. Hedgeye: Bearish TRADE and TREND, range 75.09–92.09 NEUTRAL, and explicitly NOT long oil or energy equities with OVX still around 60.
- **Metals & the Quad 3 mix:** Gold settled $4,038.70 (−0.9%) and is $4,017.90 overnight — bearish TREND with the range cut to $3,952–$4,121, still roughly 28% below its $5,586 January high. Silver $57.53 → $57.14, ceiling cut $61 → $59. Copper $6.36 → $6.33 is the one bullish commodity signal left (6.11–6.55). Nat gas $2.701 → $2.693, bearish, and still deeply negative on the month — confirming again that July was an oil-specific geopolitical shock, not an energy-demand story.

4 Hedgeye Risk Ranges & regime

Regime: Quad 3, intact. Tuesday's Early Look — "No Mo Bag-holding" (Keith McCullough, 07:31 EDT) — opens with Chase Hughes: "Most people can be talked into almost anything if they are kept in a situation long enough." The argument is behavioural, not analytical: the narrative on Bag7 and DRAM never changed, the Signal did, and the cost of staying is measured in drawdown. The process exited South Korea and Japan on time, is short EWY, and avoided oil and energy as WTI flipped back to Bearish TRADE and TREND. Leadership keeps rotating into Health Care, REITs, Insurance and Dividends — XLV added another +0.5% toward three-month highs. MOMO Tracker: Bag7 −0.2% on the day, AAPL the LONE Bullish TREND, NVDA Bearish, "Mo' Momo Unwind, KOSPI Crash Continues." Crypto Quant: ETH/ETHA cut to NEUTRAL, chain activity up but chain revenue down sharply.

Instrument	Immediate-term risk range	TREND
S&P 500 (SPX)	7,350 – 7,555	Bullish

Instrument	Immediate-term risk range	TREND
Nasdaq Composite (COMPQ)	24,612 – 25,757	Bearish
Russell 2000 (RUT)	2,914 – 2,990	Bullish
US 10Y yield	4.55 – 4.72%	Bullish
US Dollar (DXY)	100.90 – 101.98	Bullish
WTI crude	$75.09 – $92.09	Neutral
Nat gas	$2.65 – $2.97	Bearish
Gold	$3,952 – $4,121	Bearish
Silver	$54 – $59	Bearish
Copper	$6.11 – $6.55	Bullish
VIX	15.57 – 20.27	Neutral
HY credit (HYG)	79.01 – 79.68	Bearish
IG credit (LQD)	105.7 – 107.4	Bearish
Tech (XLK)	$170 – $181	Bearish
Health Care (XLV)	$158 – $165	Bullish
Utilities (XLU)	$45.01 – $46.80	Bullish
Real Estate (XLRE)	$44.81 – $46.14	Bullish

Signal changes vs Monday: WTI Bullish → NEUTRAL and Bearish TRADE/TREND (the big one; range widened 80.20–92.18 → 75.09–92.09). HYG Neutral → BEARISH, reversing Monday's upgrade after a single session. VIX Bearish → NEUTRAL on a widened 15.67–19.94 → 15.57–20.27. SPX lowered 7,385–7,599 → 7,350–7,555. COMPQ lowered 24,819–25,808 → 24,612–25,757. RUT lowered 2,922–3,000 → 2,914–2,990. USD RAISED 100.46–101.51 → 100.90–101.98. Gold ceiling cut 4,162 → 4,121; silver ceiling cut 61 → 59; XLK ceiling cut 183 → 181; XLRE and XLU trimmed. Tuesday's Early Look did not publish USD/JPY, Brent, Nikkei, Shanghai or DAX ranges.

5 Mag7 scoreboard (Tue 28 Jul)

Name	Last	Day	Cap	Read
Apple (AAPL)	**$340.08**	▲ +0.94%	$4.995T	BRIEFLY TOPPED $5 TRILLION intraday (high $342.89) — second company ever. Lone Bag7 Bullish TREND; reports Thu
Microsoft (MSFT)	**$393.35**	▲ +1.09%	$2.922T	Reports TONIGHT (~04:05 GMT+8 Thu). Azure vs capex is the question; cons ~$87.6bn rev, EPS ~$4.24
Nvidia (NVDA)	**$197.01**	▲ +0.25%	$4.772T	Stabilised after Monday's −5%, but lost the crown. Bearish TREND; $5bn into Sutskever's SSI reported
Alphabet (GOOGL)	**$333.71**	▲ +2.19%	$4.081T	Best Mag7 day again — the chip rout is funding a rotation back into it. Cloud +82% still resonating
Amazon (AMZN)	**$230.86**	▼ −0.23%	$2.483T	Reports Thu AMC; AWS margin the key line. Bearish TREND
Meta (META)	**$593.41**	▼ −0.08%	$1.506T	Reports TONIGHT alongside MSFT; ad price growth 9–12% is the bar. Bearish TREND
Tesla (TSLA)	**$307.44**	▼ −0.58%	$1.214T	Most oversold in over a year. Musk complex −$1.5trn with a SpaceX lockup expiry ahead

Prices are Tue 28 Jul official cash closes (16:00 EDT) from a single consistent snapshot; market caps as reported by the same source. Apple's $5trn touch was intraday — it closed just below, at $4.995trn. Four of seven report this week; two tonight.

6 Positioning & options

- **The Fed is a genuine coin toss and the market knows it.** CME FedWatch has ~70% on a hold at 3.50–3.75%, which means roughly 30% on a HIKE — extraordinary for a meeting 18 hours away. There is no dot plot and Warsh has abolished forward guidance, so the entire information content is a press conference. Julia Hermann at NY Life put the asymmetry well: a hawkish communication stance "would likely test today's narrow market leadership more than the broader market" — i.e. the pain trade is concentrated in exactly the names that have already been unwinding.
- **The momentum unwind is the position, not the chips.** Goldman's high-beta momentum basket −37% in July is the worst month in the history of the series. When a factor basket moves like that, the marginal seller is not expressing a view on DRAM pricing — it is meeting risk limits. That is why Amkor (−24.7%), Commvault (−19.7%) and Sterling (−15.2%) trade like memory names without being memory names.
- **Vol did not confirm the equity damage.** VIX FELL 2.46% to 18.21 on a day the Nasdaq made a fifth straight low and Korea tripped a circuit breaker. Index vol is not paying for this — the damage is idiosyncratic and sector-level, which is precisely the dispersion regime. Hedgeye widening the VIX band to 15.57–20.27 and calling it NEUTRAL rather than bearish is the same observation in signal form.

- **Credit quietly re-took its all-clear.** HYG went Bearish → Neutral on Monday and straight back to BEARISH on Tuesday. A one-session round trip in a credit signal is not noise; it says the Monday improvement was an oil-price artefact that did not survive contact with the equity tape.
- **Crypto is not hedging anything.** BTC ~$63,545 (−0.2%) and ETH ~$1,903 (+0.6%) — inert through a Korean circuit breaker, an oil round trip and a ballistic-missile headline. Hedgeye cut ETH/ETHA from Bullish to NEUTRAL and flags chain activity rising while chain revenue falls sharply — more usage, less monetisation.

7 Sector rotation — leaders & laggards (Tue)

▲ **Leaders:** Health Care +2.30%, Consumer Staples +1.95%, Communication Services +1.48%, Financials +1.15%, Consumer Discretionary +1.10%, Real Estate +0.94%. Single names: Itron +26.2%, Lucid +21.5%, IQVIA +13.9%, Coca-Cola +5.9% (beat and RAISED full-year guidance), PayPal +3.9%, Boeing +3.9% on what Barron's fairly called "lousy earnings", J&J +2.6%.

▼ **Laggards:** Technology −2.69% alone, with Energy −0.79% and Utilities −0.12% the only other negatives. The chip complex: Amkor −24.7%, SanDisk −14.3%, Micron −8.9%, Seagate −8.5%, AMD −8.2%, KLA −6.2%, Intel −5.9%, ASML −4.4%, SMH −3.5%. Outside semis: Corning −15.9%, Commvault −19.7%, Sanmina −17.5%, Sterling Infrastructure −15.2%, Bloom Energy −11.3%, UPS −5.1%, Caterpillar −5.4%, Oracle −3.9%.

◆ **Rotation read:** Nine of eleven sectors were UP on a day the Nasdaq fell for a fifth session — roughly two-thirds of SPY constituents rose an average +2.1%. This is the cleanest "index is masking the tape" day of the month, and it is exactly what Hedgeye's Chart of the Day flagged. Year-to-date the leadership table is now unrecognisable from January: Industrials +43.9%, Energy +27.2%, Real Estate +15.1%, Health Care +12.3% — against Communication Services −1.9% and Consumer Discretionary −3.7%, with Technology's +13.2% shrinking weekly.

8 Forward — futures & the week ahead

- **Futures (07:03 GMT+8):** S&P −0.19% (7,451.25), Nasdaq-100 −0.63% (27,747.25), Dow −0.11% (52,888), Russell −0.14% (2,960.30). Implied opens modestly negative, with the Nasdaq again the weakest leg. Overnight: WTI $82.79 (+4.5%), Brent $87.42 (+4.0%), gold $4,017.90 (−0.5%), silver $57.14, copper $6.33, DXY ~101.4, BTC ~$63.5k.

Day	Key events (GMT+8)
Wed 29	★ SK HYNIX Q2 ALREADY OUT — record but a miss on both lines (see §9). 19:00 MBA mortgage applications (30Y prior 6.69%). P&G, Humana, Boston Scientific pre-open. MSFT + META + QUALCOMM after the US close (~04:05–04:30 GMT+8 Thu). BoJ 2-day meeting begins.
Thu 30	★ 02:00 FOMC DECISION (hold at 3.50–3.75% ~70% priced); 02:30 Warsh press conference — no dot plot, no forward guidance. 20:30 Core PCE (Jun, prior 3.4% y/y) + Q2 GDP advance + jobless claims. AAPL + AMZN after the US close.
Fri 31	★ BoJ decision + quarterly Outlook Report (~11:00–12:00) — yen at 163.8 makes it live. 20:30 Employment Cost Index (Q2); 21:45 Chicago PMI; 22:00 UMich final. Exxon + Chevron pre-open. Month-end flows — and after a −37% month in high-beta momentum, rebalancing is not a footnote.
Watch	China July Politburo readout still pending. Any further CENTCOM/IRGC exchange re-prices crude instantly. Hormuz tanker transit counts remain the only honest supply indicator.

9 Corporate news

- **SK Hynix Q2: a record that missed.** Revenue KRW 79.3187trn (~$54.6bn) vs ~$57.7bn expected; operating profit KRW 60.5426trn (~$41.6bn) vs ~$44.2bn expected, at a 76.3% operating margin. Q2 operating profit alone exceeds the FY25 full-year record of 47.2trn. DRAM ASP +~30% q/q, NAND ASP +mid-50% q/q; long-term supply agreements with ~10 customers; 2026 outlook DRAM demand +mid-20% y/y, NAND +high-teens%. Management flagged smartphone and PC sales temporarily adjusted on difficulty securing memory volumes.
- **Apple briefly becomes the first-ever $5 trillion company on an intraday basis** — touching $342.89 before closing at $340.08 for a $4.995trn cap, +0.94%. It took the crown from Nvidia on Monday and extended on Tuesday. The framing has not changed and keeps working: the market is paying a premium for the company that RENTS AI capacity over the ones that build it.
- **Nvidia's deal web widens again.** On top of the reported $250bn OpenAI funding backstop that triggered Monday's CDS blowout, Bloomberg reported Nvidia has committed ~$5bn to Ilya Sutskever's Safe Superintelligence. The stock stabilised (+0.25%) but Jim Cramer's dot-com comparison has gone fully mainstream, and CNBC's own trending list led with Wall Street "fleeing the AI trade."
- **Tuesday's prints, in order of market reaction:** Corning −15.9% — the day's worst large-cap. Coca-Cola +5.9% on a beat and a RAISED full-year outlook. Boeing +3.9% despite weak numbers. PayPal +3.9%. Visa +1.1% in the session but −1% after hours on soft guidance. Ford +1.9% in the session and +4% AFTER HOURS on a beat and a lifted 2026 forecast. UPS −5.1%. Seagate −8.5% and KLA −6.2% into their own reports. Bloom Energy −11.3%.
- **The Musk complex is now a benchmark risk.** SpaceX and Tesla shed roughly $1.2trn in July, with CNBC putting the wider Musk-linked hit at ~$1.5trn — and a SpaceX lockup expiry is still ahead. SPCX trades ~$110 against a $161 first-day close. A high-beta, headline-driven, newly index-relevant name is now in everyone's passive exposure whether they underwrote it or not.

10 Macro data

- **Consumer confidence missed, and the composition is worse than the headline.** The Conference Board index fell 1.4 points to 90.8 in July against 92.4 expected (June revised UP to 92.2). The Present Situation Index dropped 3.6 points to 114.9 — its THIRD consecutive monthly decline and the lowest reading since 2021 — while Expectations were unchanged at 74.7. Households are not forecasting trouble; they are reporting it, and elevated gasoline and food prices are the obvious culprit. That is a stagflationary print landing the day before a Fed that may hike.
- **Thursday's Core PCE is the number, and it is already stale.** June core PCE (prior 3.4% y/y) prints at 20:30 GMT+8 Thursday, AFTER the decision. It pre-dates the July oil spike entirely — WTI went from the mid-$60s to a $92 high this month before this week's collapse and Tuesday-night bounce. Whatever cooling June shows, the inflation the Fed is actually worried about does not appear in the data until late August. The Committee has to decide today on a number it will not see until tomorrow, about a shock it will not measure until next month.
- **The Fed's own setup:** target range 3.50–3.75%, effective ~3.62%, ~70% priced for a hold and ~30% for a hike. No dot plot, no forward guidance, one press conference. Hedgeye's Monday note framed the front end bluntly — the last time bonds looked like this, the Fed hiked more than 500 basis points. The curve disagreed on Tuesday, bidding duration across the board.
- **Housing:** MBA 30-year mortgage rate was 6.69% last week, updating 19:00 GMT+8 today. Case-Shiller home prices were also in the Tuesday calendar. Nothing in the housing complex resolves until the front end does, which is Wednesday's problem.

11 Geopolitics

▼ **THE OVERNIGHT EVENT: the pause broke.** US Central Command said on social media that Islamic Revolutionary Guard Corps forces launched "multiple ballistic missiles in an attempted surprise attack on U.S. forces based in the Middle East." CENTCOM says the missiles were successfully intercepted. WTI jumped ~4% within the hour; equity futures went modestly offered. This ends four nights of informal, mutual, reversible quiet — and it happened while Trump was publicly describing "good talks."

- **Which makes Tuesday's diplomacy the more interesting half of the story.** Iran's Foreign Minister Abbas Araghchi held SEPARATE talks with his Saudi and Omani counterparts focused on restoring security in the strait. Oman has proposed a joint regional mechanism to manage Hormuz that would let Iran collect voluntary transit fees — a face-saving revenue channel — and it reportedly has Gulf support. That is a real architecture, and it is the first proposal in this conflict that gives Tehran something to say yes to.
- **But the proxy war never paused at all.** Saudi Arabia said it intercepted drones launched from IRAQ targeting petroleum facilities, blaming Iran-backed groups, and Yemen's Houthis claimed an attack on the kingdom's East-West pipeline. Layer the CENTCOM interception on top and the picture is coherent: negotiators are negotiating in good faith while the military tracks run independently of them.
- **The number that still matters:** Hormuz transit counts. Fewer than 10 commodity vessels transited on Monday against roughly 100/day pre-war. Until that normalises, every oil move in either direction is sentiment. Tuesday's −4% and the overnight +4.5% are both sentiment. Watch the tanker count, not the press conference — and note that WTI has now traded a $17 range this month, which is why Hedgeye simply gave up and called it Neutral.

12 Asia setup — today (Wed 29 Jul, pre-open)

Index	Tue 28 Jul close	Read
US futures	▼ modestly lower (NQ −0.6%)	Implied opens negative; oil +4.5% o/n on the CENTCOM headline is the live variable
Kospi (Korea)	▼ 6,023.66 (−10.84%)	CIRCUIT BREAKER, 8th of 2026. Samsung −13%, SK Hynix −15%. −34% from cycle peak. Now has SK Hynix's record-but-miss to trade
Nikkei 225	▼ 62,364.92 (−3.95%)	Lowest close in over two months; Kioxia limit-down, Tokyo Electron and Advantest both −10%+. BoJ Friday
Topix	▼ 3,963.59 (−2.52%)	Held up far better than the Nikkei — value and banks again absorbing what leaves growth
Taiwan (TWII)	▼ 41,603.36 (−4.65%)	Second-worst in the region; the DUV report hits the foundry/equipment complex directly
Hang Seng	▲ 25,310.85 (+0.41%)	GREEN. China self-sufficiency is a domestic positive; Politburo readout still awaited
Shanghai	▼ 3,813.31 (−1.16%)	Gave back some CXMT euphoria — the debut pulled back ~4% in its second session
S&P/ASX 200	▲ 8,947.80 (+0.60%)	No semis, cheap crude, and a resources bid — the region's cleanest defensive
Straits Times	▼ 5,616.11 (−0.07%)	Effectively flat; insulated from the memory shock
Sensex	▼ 76,765.92 (−0.09%)	Flat; India remains the region's non-correlated leg

Read: the region split cleanly along one axis — who owns memory. Korea, Japan and Taiwan were destroyed; Hong Kong, Australia, Singapore and India were not, and Hong Kong actually closed green. Today that axis gets re-tested from a different direction: SK Hynix has printed the best quarter in its history AND missed consensus on both lines, into a market that fell 10.84% the day before with a circuit breaker. If Korea can absorb a record-but-miss without another limit move, Tuesday was capitulation; if it cannot, the DUV story is being priced as terminal rather than cyclical. Brief lands ~08:00 GMT+8, pre-open; futures are indications, not cash.

13 AI watch

- **Stage four: the supply side stopped being a moat.** Stage one punished the spenders, stage two sold good results, stage three questioned the financing. Tuesday added the structural leg — if China can mass-produce immersion DUV, the export-control regime that underwrote every

Western semiconductor valuation has a visible expiry date. That is not a multiple question, it is a terminal-value question, and it is why a −41% month in SK Hynix does not obviously stop.

- **The record-but-miss is the template for the rest of this earnings season.** SK Hynix put up a 76.3% operating margin and the best quarter in its history, and missed. MSFT and META tonight face the same bar from the opposite direction: they are being graded on capex RESTRAINT, not growth. Alphabet already showed the way — Cloud +82% and the stock still fell on the print, then rallied +2.19% on Tuesday purely because money leaving chips had to go somewhere.
- **Circular financing is now the consensus critique, not the contrarian one.** Nvidia's reported $250bn OpenAI backstop, a ~$500bn SK Group project, a 4.5% stake in Naver, and now ~$5bn into Safe Superintelligence. When Cramer's dot-com comparison is echoed by CNBC's own most-read list and a 'Big Short' investor warning lands the same morning, the trade is crowded on the SHORT side of the narrative too. Positioning cuts both ways from here.
- **What would break the bear case:** a Microsoft print tonight with Azure comfortably above 40% and FY27 capex guided BELOW the ~$220bn whisper. That combination — demand intact, spending disciplined — is the only thing that separates an AI capex indigestion story from an AI demand story. Nothing in the chip tape tells you which one this is.

14 Beyond the markets

- **A circuit breaker is a market-structure event, not a price event.** Korea's was the eighth of 2026. Eight halts in seven months is no longer a tail — it is the operating environment, and it should be in every risk model that touches Asian equities. The mechanical consequence matters for execution: liquidity does not resume where it stopped, and the 20-minute halt concentrates the remaining session into a narrower window.
- **Corporate optimism is at a 15-year high while the market is stuck.** Yahoo Finance's chart of the day made the point that management confidence, measured through earnings-call language, is the strongest in fifteen years — and the index has gone nowhere. Blended earnings growth this season is running near +70%. Good numbers have not been the catalyst for a month; that divergence is the whole 2026 story in one line.
- **Gartner raised its 2026 IT spending forecast on AI demand** — on the same day the semiconductor complex had one of its worst sessions of the year. Both can be true: spending grows, and the margin pool migrates from the incumbent suppliers to new ones. That is precisely what a China self-sufficiency shock does to a supply chain.

15 Appendix — stock cards

*Names in focus plus top global names — last + day · market cap · next key date · one-line read. Prices are Tue 28 Jul cash closes unless flagged * (prior/approx/delayed). No charts.*

US — movers & mega-caps

Apple (AAPL)
$340.08 ▲ +0.94%
Cap $4.995T Next: Reports Thu 30 Jul
Touched $5trn intraday — a first. Lone Bag7 Bullish TREND; Cook's final call as CEO.

Microsoft (MSFT)
$393.35 ▲ +1.09%
Cap $2.922T Next: REPORTS TONIGHT
Azure ≥40% and restrained FY27 capex is the bull combination. Bearish TREND into it.

Nvidia (NVDA)
$197.01 ▲ +0.25%
Cap $4.772T Next: Reports late Aug
Stabilised, still Bearish TREND. $250bn OpenAI backstop and ~$5bn into SSI keep the credit lens open.

Alphabet (GOOGL)
$333.71 ▲ +2.19%
Cap $4.081T Next: Reported 22 Jul
Best Mag7 day again — the designated safe harbour for money leaving semis. Cloud +82%.

Meta (META)
$593.41 ▼ −0.08%
Cap $1.506T Next: REPORTS TONIGHT
Ad price growth 9–12% is the bar; capex scrutiny is the risk. Bearish TREND.

Amazon (AMZN)
$230.86 ▼ −0.23%
Cap $2.483T Next: Reports Thu 30 Jul
AWS margin is the line. Possible mark-to-market gain on the Anthropic stake. Bearish TREND.

Tesla (TSLA)
$307.44 ▼ −0.58%
Cap $1.214T Next: Reported 22 Jul
Most oversold in over a year. Musk complex −$1.5trn; SpaceX lockup still ahead.

Micron (MU)
$820.53 ▼ −8.85%
Cap $926.7B Next: Reports late Sep
The US pure-play on the China DRAM shock. No earnings catalyst for two months.

AMD
$454.62 ▼ −8.15%
Cap $741.3B Next: Reports early Aug
Second straight brutal session. Core Scientific AI deal did not help.

Corning (GLW)
$120.58 ▼ −15.89%
Cap ~$103B* Next: Reported 28 Jul
Worst large-cap of the day. Optical/AI-infrastructure exposure cut both ways.

Coca-Cola (KO)
$89.07 ▲ +5.94%
Cap ~$383B* Next: Reported 28 Jul
Beat AND raised the full-year outlook. The staples bid in one name.

Amkor (AMKR)
$45.69 ▼ −24.74%
Cap ~$11B* Next: Reported 28 Jul
The single worst print of the session — packaging is the most operationally geared link in the chain.

Asia — the epicentre

SK Hynix (000660)
−15% Tue ▼ Q2 OUT
Cap mega-cap Next: REPORTED TODAY
Record KRW60.5trn OP at 76.3% margin — and MISSED on both lines. −41% MTD, worst month since Oct-2008.

Samsung Elec (005930)
−13% Tue ▼ w/ KOSPI
Cap mega-cap Next: Reports late Jul
Half the Korean index's problem. DRAM share 36% is now the number under attack.

TSMC (2330 / TSM)
−4.65% w/ TWII ▼ w/ index
Cap ~$1.9T* Next: Reported 16 Jul
Could not hold Monday's relative strength. DUV mass production is a foundry-equipment question too.

Kioxia (285A.T)
limit-down ▼ −daily limit
Cap large-cap Next: Reports Aug
Hit the daily limit at ¥44,550 — the purest NAND expression in Tokyo.

Tokyo Electron (8035)
−10%+ ▼ −10%+
Cap large-cap Next: Reports Aug
Equipment names took the DUV report hardest. Advantest the same.

Naver (035420)
~KRW225,000* ► w/ KOSPI
Cap large-cap Next: Reports Aug
Nvidia's $1bn / 4.5% stake is the one Korean story insulated from memory pricing.

Europe & the rest

ASML
$1,582.95 ▼ −4.37%
Cap $608.0B Next: Reported ~21 Jul
China ~20% of 2026 revenue. Domestic DUV mass production is THE monopoly question, and it is no longer hypothetical.

Broadcom (AVGO)
$380.91 ▼ −0.60%
Cap $1.812T Next: Reports early Sep
Notably resilient — custom silicon is a different exposure to commodity memory.

Intel (INTC)
$86.30 ▼ −5.86%
Cap ~$375B* Next: Reported 24 Jul
Most-active name on the tape. Foundry ambitions cut against a cheaper Chinese toolchain.

Seagate (STX)
$747.30 ▼ −8.53%
Cap ~$155B* Next: Reported 28 Jul
Reported after the close into an already-broken storage tape.

Shell / TotalEnergies
two-way* ◆ w/ crude
Cap — Next: Report this wk
Crude round-tripped 8% in a day. Still the cleanest re-escalation hedge available.

SpaceX (SPCX)
~$110.42* ▼ −2.71%
Cap ~$1.5T* Next: Lockup ahead
Roughly a third below its $161 day-one close. Now a benchmark constituent with headline beta.

Sources

Index closes, Mag7, sectors, futures, commodities, Treasuries, FX and crypto: Yahoo Finance market data captured 07:01–07:05 GMT+8 Wed 29 Jul (US cash closes are official 16:00 EDT Tue prints). Session narrative, Fed odds, after-hours moves and the CENTCOM statement: CNBC "Stock market today: Live updates" (28 Jul) and CNBC/Yahoo wires. Oil settles and Hormuz diplomacy: CNBC oil coverage, Trading Economics news stream (28 Jul). Risk ranges, TREND signals, Quads, MOMO and Crypto Quant: Hedgeye Early Look "No Mo Bag-holding" (Keith McCullough, 28 Jul 07:31 EDT), Hedgeye MOMO Tracker, Hedgeye Crypto Quant, Hedgeye Market Insights "Goldman's High Beta Momentum Basket on Track For Worst Monthly Performance in History" (28 Jul 13:49 EDT) and "CHART OF THE DAY: SPY Is Masking a Violent Rotation Beneath The Surface" — logged-in FULL edition. Korea/Japan/Taiwan: TradingKey, US News, Xinhua, MarketScreener, BBN Times, 24/7 Wall St. SK Hynix Q2: SK hynix press release via PR Newswire, Wall St Engine consensus comparison. Consumer confidence: Conference Board via Bloomberg/CNBC/PR Newswire. Microsoft/Meta previews: TipRanks, S&P Global, TradingKey. Apple $5trn: Reuters, Quartz, Yahoo Finance.

Data-confidence

CROSS-CHECKS PASSED: every Tuesday close in this brief reconciles arithmetically against the 27 Jul edition's closes — S&P 7,413.18→7,428.78 (+0.21%), Dow 52,210.08→52,747.32 (+1.03%), Nasdaq 24,932.08→24,876.91 (−0.22%), VIX 18.67→18.21 (−2.46%), Nikkei 64,931.19→62,364.92 (−3.95%), Topix 4,066.07→3,963.59 (−2.52%), Kospi 6,755.75→6,023.66 (−10.84%), Taiwan 43,634.19→41,603.36 (−4.65%), Hang Seng 25,207.18→25,310.85 (+0.41%), Shanghai 3,858.25→3,813.31 (−1.16%). Overnight commodity prints also reconcile to Tuesday settles: WTI 82.79−3.53=79.26 and Brent 87.42−3.33=84.09, both matching CNBC's reported settles exactly, which is why the settle figures are used with confidence despite Trading Economics' CFD quotes showing $81.0/$86.4 (TE explicitly states its prices are not official WTI settlements). KNOWN GAPS: the 2Y yield is NOT officially confirmed (Fed H.15 not yet published); ~4.27% is inferred from the parallel ~3–4bp decline across the 13-week, 5Y, 10Y and 30Y and should be treated as an estimate. Sector percentages are Yahoo's sector classification, not GICS S&P sector indices, so they will not tie exactly to CNBC's sector prints. Market caps other than those quoted directly are derived and approximate; any figure marked * is an approximation, a prior close or delayed. SINGLE-SOURCE / UNVERIFIED: the CENTCOM ballistic-missile statement is reported by CNBC citing a CENTCOM social-media post and had not been independently corroborated at the time of writing — it is, however, corroborated indirectly by the ~4% overnight move in both WTI and Brent. SK Hynix's consensus comparison ($57.7bn revenue / $44.2bn operating profit) comes from a single aggregator; the reported figures themselves are from the company release. The reported Trump–Netanyahu meeting on 28 Jul is single-source and is not relied on above. Kioxia, Tokyo Electron and Advantest moves are press-reported, not exchange-confirmed here. Hedgeye's MOMO Tracker headline cites NVDA −5%, which refers to MONDAY's close; Nvidia actually closed +0.25% on Tuesday, and this brief uses the Tuesday print. TIMING: brief generated ~08:00 GMT+8 Wednesday, pre-Asia-open. Futures and overnight commodity levels move fast on Middle East headlines — verify live before acting. This is the FULL Hedgeye edition (logged-in browser reachable).